

13<sup>th</sup> August 2014

The Chief Executive  
Nairobi Securities Exchange  
Nation Centre  
Kimathi Street  
Nairobi

Dear Sir,

RE: THE CO-OPERATIVE BANK OF KENYA LIMITED  
GROUP FINANCIAL RESULTS FOR THE HALF YEAR  
ENDED 30<sup>TH</sup> JUNE 2014

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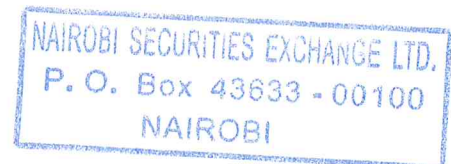
Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the half year ended 30<sup>th</sup> June 2014, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully,



**Rosemary Githaiga (Mrs)**  
**COMPANY SECRETARY**  
Encl.



*T. Kam 12/08/14*

Chief Executive Officer  
Capital Markets Authority  
Embankment Plaza  
3<sup>rd</sup> Floor, Longonot Road  
Upper Hill  
Nairobi

-With copies of the above attached.

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2014

| I        | STATEMENT OF FINANCIAL POSITION                                        |                                         |                                    |                                         |                                         |                                         |
|----------|------------------------------------------------------------------------|-----------------------------------------|------------------------------------|-----------------------------------------|-----------------------------------------|-----------------------------------------|
|          | GROUP                                                                  |                                         |                                    | BANK                                    |                                         |                                         |
|          | 30-Jun-14<br>KSHS. '000<br>(Un-audited)                                | 31-Mar-14<br>KSHS. '000<br>(Un-audited) | 31-Dec-13<br>KSHS. '000<br>Audited | 30-Jun-14<br>KSHS. '000<br>(Un-audited) | 31-Mar-14<br>KSHS. '000<br>(Un-audited) | 30-Jun-13<br>KSHS. '000<br>(Un-audited) |
| <b>A</b> | <b>ASSETS</b>                                                          |                                         |                                    |                                         |                                         |                                         |
| 1        | Cash (local and foreign)                                               | 7,096,063                               | 7,040,644                          | 9,196,193                               | 6,623,163                               | 8,908,316                               |
| 2        | Balances due from Central Bank Of Kenya                                | 13,410,681                              | 13,086,638                         | 11,516,976                              | 11,601,889                              | 11,483,179                              |
| 3        | Kenya Government and other securities held for dealing purposes        | 30,009                                  | 30,009                             | 30,009                                  | 30,009                                  | 30,009                                  |
| 4        | Financial Assets at fair value through profit and loss                 | 511                                     | 500                                | 557                                     | 500                                     | 514                                     |
| S.a.a    | Investment Securities: Held to Maturity- Kenya Government Securities   | 20,617,445                              | 17,266,903                         | 13,983,393                              | 20,407,188                              | 13,820,482                              |
| S.a.b    | Investment Securities: Held to Maturity- Other Securities              | -                                       | -                                  | 45,000                                  | -                                       | -                                       |
| S.b.a    | Investment Securities: Available for Sale- Kenya Government Securities | 20,383,353                              | 20,412,869                         | 19,560,640                              | 20,383,353                              | 19,560,640                              |
| S.b.b    | Investment Securities: Available for Sale- Other Securities            | 4,588,175                               | 5,630,544                          | 5,746,273                               | 4,588,175                               | 5,746,273                               |
| 6        | Deposits and balances due from local banking institutions              | 6,438,796                               | 4,022,659                          | 2,968,294                               | 6,104,820                               | 3,003,578                               |
| 7        | Deposits and balances due from banking institutions abroad             | 4,776,316                               | 4,659,220                          | 7,072,622                               | 4,741,507                               | 7,053,215                               |
| 8        | Tax recoverable                                                        | 3,655                                   | 335                                | 97,029                                  | -                                       | 99,631                                  |
| 9        | Loans and advances to customers (net)                                  | 165,759,035                             | 154,648,317                        | 137,087,227                             | 165,600,406                             | 137,051,537                             |
| 10       | Balances due from banking institutions in the group                    | -                                       | -                                  | -                                       | -                                       | -                                       |
| 11       | Investments in associates                                              | 1,812,241                               | 1,838,817                          | 1,688,888                               | 755,118                                 | 109,379                                 |
| 12       | Investments in subsidiary companies                                    | -                                       | -                                  | -                                       | 1,748,494                               | 755,118                                 |
| 13       | Investment in joint ventures                                           | -                                       | -                                  | -                                       | -                                       | 672,500                                 |
| 14       | Investment in properties                                               | -                                       | -                                  | -                                       | -                                       | -                                       |
| 15       | Property, plant and equipment                                          | 9,932,424                               | 9,732,657                          | 11,447,430                              | 8,947,316                               | 10,641,897                              |
| 16       | Prepaid lease rentals                                                  | 38,180                                  | 38,180                             | 38,180                                  | 38,180                                  | 38,180                                  |
| 17       | Intangible assets                                                      | 2,788,764                               | 2,810,038                          | 1,616,772                               | 2,485,961                               | 1,094,514                               |
| 18       | Deferred tax asset                                                     | 66,554                                  | 66,554                             | 66,658                                  | 56,113                                  | 56,113                                  |
| 19       | Retirement benefit asset                                               | -                                       | -                                  | -                                       | -                                       | -                                       |
| 20       | Other assets                                                           | 8,930,483                               | 6,034,274                          | 9,053,219                               | 8,737,356                               | 8,768,434                               |
| 21       | <b>TOTAL ASSETS</b>                                                    | <b>266,672,685</b>                      | <b>247,319,159</b>                 | <b>231,215,359</b>                      | <b>263,501,814</b>                      | <b>224,049,450</b>                      |
| <b>B</b> | <b>LIABILITIES</b>                                                     |                                         |                                    |                                         |                                         |                                         |
| 22       | Balances due to Central Bank Of Kenya                                  | -                                       | -                                  | -                                       | -                                       | -                                       |
| 23       | Customer deposits                                                      | 199,243,875                             | 187,165,735                        | 175,425,121                             | 198,114,365                             | 172,833,142                             |
| 24       | Deposits and balances due to local banking institutions                | 4,089,298                               | 4,448,278                          | 5,462,337                               | 4,089,298                               | 5,462,337                               |
| 25       | Deposits and balances due to banking institutions abroad               | 41,195                                  | -                                  | -                                       | 41,195                                  | -                                       |
| 26       | Other money market deposits                                            | -                                       | -                                  | -                                       | -                                       | -                                       |
| 27       | Borrowed funds                                                         | 13,577,791                              | 12,748,453                         | 10,252,392                              | 13,577,791                              | 10,252,392                              |
|          |                                                                        |                                         |                                    |                                         | 12,748,452.55                           | 5,269,985                               |

|      |                                                   |             |             |             |             |             |
|------|---------------------------------------------------|-------------|-------------|-------------|-------------|-------------|
| 28   | Balances due to banking institutions in the group | -           | -           | -           | -           | -           |
| 29   | Tax payable                                       | 420,253     | 897,999     | 116,112     | 413,246     | 887,802     |
| 30   | Dividends payable                                 | -           | -           | -           | -           | -           |
| 31   | Deferred tax liability                            | -           | -           | -           | -           | -           |
| 32   | Retirement benefit liability                      | -           | -           | 175,713     | -           | -           |
| 33   | Other liabilities                                 | -           | -           | -           | -           | -           |
| 34   | TOTAL LIABILITIES                                 | 8,840,736   | 1,475,791   | 2,937,252   | 7,251,624   | 1,200,360   |
|      |                                                   | 226,213,148 | 206,736,256 | 194,077,101 | 224,638,177 | 205,189,629 |
| C    | SHAREHOLDERS' FUNDS                               |             |             |             |             |             |
| 35   | Paid up/Assigned capital                          | 4,190,844   | 4,190,844   | 4,190,844   | 4,190,844   | 4,190,844   |
| 36   | Share premium/(discount)                          | 3,588,262   | 3,588,262   | 3,588,262   | 3,588,262   | 3,588,262   |
| 37   | Revaluation reserve                               | 407,035     | 407,035     | 460,752     | 407,035     | 407,035     |
| 38   | Retained earnings/ Accumulated losses             | 31,413,544  | 29,003,382  | 26,409,433  | 24,562,815  | 27,658,204  |
| 39   | Statutory Loan Loss Reserve                       | 717,844     | 717,844     | 718,026     | 717,844     | 717,844     |
| 40   | Other Reserves                                    | (689,166)   | (323,267)   | (1,243,357) | (689,166)   | (323,267)   |
| 41   | Proposed dividends                                | -           | 2,095,422   | -           | -           | (1,255,707) |
| 42   | Capital grants                                    | 545,030     | 549,649     | 554,268     | 545,030     | 549,649     |
| 43   | TOTAL SHAREHOLDERS' FUNDS                         | 40,173,393  | 40,229,172  | 36,773,649  | 38,863,637  | 38,883,993  |
| 43.1 | Non-Controlling Interest                          | 286,145     | 353,732     | 364,608     | -           | -           |
| 44   | TOTAL LIABILITIES & SHAREHOLDERS' FUNDS           | 266,672,685 | 247,319,160 | 231,215,359 | 263,501,814 | 244,073,622 |
|      |                                                   |             |             | 225,252,258 |             | 228,874,484 |
|      |                                                   |             |             | 133,080     |             |             |
|      |                                                   |             |             |             |             | 32,627,478  |
|      |                                                   |             |             |             |             | 564,492     |
|      |                                                   |             |             |             |             | 35,652,045  |
|      |                                                   |             |             |             |             | 2,095,422   |
|      |                                                   |             |             |             |             | 717,844     |
|      |                                                   |             |             |             |             | (1,255,707) |
|      |                                                   |             |             |             |             | 2,095,422   |
|      |                                                   |             |             |             |             | 554,268     |
|      |                                                   |             |             |             |             | 38,883,993  |
|      |                                                   |             |             |             |             | 35,652,045  |
|      |                                                   |             |             |             |             | 564,492     |
|      |                                                   |             |             |             |             | 32,627,478  |
|      |                                                   |             |             |             |             | 228,874,484 |
|      |                                                   |             |             |             |             | 224,049,450 |

| II   | STATEMENT OF COMPREHENSIVE INCOME                                              | GROUP                     |                                         |                                    |                           | BANK                                    |                                         |                                    |                                         |
|------|--------------------------------------------------------------------------------|---------------------------|-----------------------------------------|------------------------------------|---------------------------|-----------------------------------------|-----------------------------------------|------------------------------------|-----------------------------------------|
|      |                                                                                | 30-Jun-14<br>(Un-audited) | 31-Mar-14<br>KSHS. '000<br>(Un-audited) | 31-Dec-13<br>KSHS. '000<br>Audited | 30-Jun-13<br>(Un-audited) | 30-Jun-14<br>KSHS. '000<br>(Un-audited) | 31-Mar-14<br>KSHS. '000<br>(Un-audited) | 31-Dec-13<br>KSHS. '000<br>Audited | 30-Jun-13<br>KSHS. '000<br>(Un-audited) |
| 1.0  | INTEREST INCOME                                                                |                           |                                         |                                    |                           |                                         |                                         |                                    |                                         |
| 1.1  | Loans and advances                                                             | 11,188,210                | 5,477,944                               | 20,045,346                         | 9,579,673                 | 11,177,532                              | 5,475,008                               | 20,044,538                         | 9,579,673                               |
| 1.2  | Government securities                                                          | 2,294,774                 | 1,092,487                               | 4,126,061                          | 1,891,107                 | 2,276,815                               | 1,085,084                               | 4,107,495                          | 1,878,553                               |
| 1.3  | Deposits and placements with banking Institutions                              | 168,061                   | 79,201                                  | 370,318                            | 272,722                   | 168,061                                 | 79,201                                  | 358,889                            | 272,722                                 |
| 1.4  | Other Interest Income                                                          | -                         | -                                       | -                                  | -                         | -                                       | -                                       | -                                  | -                                       |
| 1.5  | Total Interest Income                                                          | 13,651,045                | 6,649,632                               | 24,541,725                         | 11,743,502                | 13,622,408                              | 6,639,293                               | 24,510,922                         | 11,730,948                              |
| 2.0  | INTEREST EXPENSE                                                               |                           |                                         |                                    |                           |                                         |                                         |                                    |                                         |
| 2.1  | Customer deposits                                                              | 3,212,541                 | 1,594,528                               | 5,103,060                          | 2,526,949                 | 3,212,437                               | 1,594,520                               | 5,103,054                          | 2,526,949                               |
| 2.2  | Deposits and placements from banking institutions                              | 40,071                    | 15,300                                  | 146,220                            | 36,346                    | 40,071                                  | 15,300                                  | 146,220                            | 36,346                                  |
| 2.3  | Other Interest Expenses                                                        | 468,236                   | 221,456                                 | 666,535                            | 318,014                   | 468,236                                 | 221,456                                 | 666,535                            | 318,014                                 |
| 2.4  | Total Interest Expenses                                                        | 3,720,848                 | 1,831,284                               | 5,915,815                          | 2,881,310                 | 3,720,744                               | 1,831,275                               | 5,915,809                          | 2,881,310                               |
| 3    | NET INTEREST INCOME/(LOSS)                                                     | 9,930,198                 | 4,818,348                               | 18,625,910                         | 8,862,192                 | 9,901,664                               | 4,808,017                               | 18,595,113                         | 8,849,638                               |
| 4    | NON- OPERATING INCOME                                                          |                           |                                         |                                    |                           |                                         |                                         |                                    |                                         |
| 4.1  | Fees and commissions on loans and advances                                     | 1,028,917                 | 494,650                                 | 1,935,527                          | 868,748                   | 1,028,917                               | 494,650                                 | 1,935,527                          | 868,748                                 |
| 4.2  | Other Fees and commissions                                                     | 3,869,909                 | 1,441,624                               | 5,225,451                          | 2,434,541                 | 3,548,334                               | 1,346,068                               | 4,894,638                          | 2,289,679                               |
| 4.3  | Foreign exchange trading income/(loss)                                         | 921,168                   | 447,614                                 | 1,471,977                          | 669,721                   | 760,784                                 | 377,484                                 | 1,443,649                          | 669,721                                 |
| 4.4  | Dividend income                                                                | 54,089                    | -                                       | 53,551                             | -                         | 54,089                                  | -                                       | 53,551                             | -                                       |
| 4.5  | Other income                                                                   | 364,331                   | 276,152                                 | 577,386                            | 525,164                   | 364,152                                 | 209,686                                 | 625,615                            | 524,773                                 |
| 4.6  | Total Non-interest income                                                      | 6,238,414                 | 2,660,039                               | 9,263,893                          | 4,498,174                 | 5,756,276                               | 2,377,888                               | 8,952,980                          | 4,352,921                               |
| 5.0  | TOTAL OPERATING INCOME                                                         | 16,168,612                | 7,478,387                               | 27,889,803                         | 13,360,366                | 15,657,940                              | 7,185,905                               | 27,548,093                         | 13,202,560                              |
| 6.0  | OTHER OPERATING EXPENSES                                                       |                           |                                         |                                    |                           |                                         |                                         |                                    |                                         |
| 6.1  | Loan loss provision                                                            | 400,036                   | 150,561                                 | 778,157                            | 500,000                   | 400,036                                 | 150,561                                 | 773,291                            | 500,000                                 |
| 6.2  | Staff costs                                                                    | 4,037,123                 | 1,893,893                               | 8,013,780                          | 3,286,389                 | 3,868,978                               | 1,799,912                               | 7,825,352                          | 3,240,980                               |
| 6.3  | Directors' emoluments                                                          | 38,470                    | 18,844                                  | 131,734                            | 21,550                    | 23,770                                  | 11,086                                  | 110,274                            | 17,374                                  |
| 6.4  | Rentals charges                                                                | 646,254                   | 308,310                                 | 1,123,891                          | 498,995                   | 566,966                                 | 276,284                                 | 1,062,895                          | 496,987                                 |
| 6.5  | Depreciation charge on property and equipment                                  | 983,637                   | 494,888                                 | 1,528,961                          | 699,580                   | 915,315                                 | 454,428                                 | 1,514,249                          | 697,665                                 |
| 6.6  | Armortisation charges                                                          | 144,645                   | 72,113                                  | 178,812                            | 68,239                    | 144,645                                 | 72,113                                  | 176,176                            | 67,977                                  |
| 6.7  | Other operating expenses                                                       | 3,190,792                 | 1,221,289                               | 5,627,393                          | 2,530,556                 | 2,952,927                               | 1,129,911                               | 5,380,400                          | 2,484,018                               |
| 6.8  | Total other operating expenses                                                 | 9,440,957                 | 4,159,898                               | 17,382,727                         | 7,605,309                 | 8,872,638                               | 3,894,295                               | 16,842,637                         | 7,505,002                               |
| 7    | Profit/(Loss) before tax and exceptional items                                 | 6,727,655                 | 3,318,488                               | 10,507,075                         | 5,755,057                 | 6,785,302                               | 3,291,610                               | 10,705,457                         | 5,697,558                               |
| 8    | Exceptional items-Share of profit of associate                                 | 27,513                    | 149,929                                 | 365,368                            | 115,829                   | -                                       | -                                       | -                                  | -                                       |
| 9    | Profit/(Loss) before tax                                                       | 6,755,168                 | 3,468,418                               | 10,872,444                         | 5,870,886                 | 6,785,302                               | 3,291,610                               | 10,705,457                         | 5,697,558                               |
| 10   | Current tax                                                                    | 2,039,836                 | 1,002,844                               | 1,996,713                          | 1,156,813                 | 2,035,591                               | 987,483                                 | 1,958,092                          | 1,139,512                               |
| 11   | Deferred tax                                                                   | -                         | -                                       | (232,454)                          | -                         | -                                       | -                                       | (231,826)                          | -                                       |
| 12   | Profit/(loss) after tax and exceptional items                                  | 4,715,331                 | 2,465,574                               | 9,108,185                          | 4,714,073                 | 4,749,711                               | 2,304,127                               | 8,979,191                          | 4,558,046                               |
| 13.0 | OTHER COMPREHENSIVE INCOME:                                                    |                           |                                         |                                    |                           |                                         |                                         |                                    |                                         |
| 13.1 | Gains/(Losses) from translating the financial statements of foreign operations | -                         | -                                       | 1,060                              | -                         | -                                       | -                                       | -                                  | -                                       |
| 13.2 | Fair value changes in available-for-sale financial assets                      | 566,541                   | 932,440                                 | (178,378)                          | 883,839                   | 566,541                                 | 932,440                                 | (178,221)                          | 883,839                                 |
| 13.3 | Revaluation Surplus on property, Plant and Equipment                           | -                         | -                                       | -                                  | -                         | -                                       | -                                       | -                                  | -                                       |
| 13.4 | Share of other comprehensive income of associates                              | -                         | -                                       | 20,713                             | -                         | -                                       | -                                       | -                                  | -                                       |

|      |                                                                 |           |           |           |           |           |
|------|-----------------------------------------------------------------|-----------|-----------|-----------|-----------|-----------|
| 13.5 | Income tax relating to components of other comprehensive income | -         | -         | -         | -         | -         |
| 14   | OTHER COMPREHENSIVE INCOME NET OF TAX                           | 566,541   | 937,440   | (156,605) | 883,839   | 566,541   |
|      |                                                                 |           |           |           |           | (178,221) |
| 15   | TOTAL COMPREHENSIVE INCOME                                      | 5,281,872 | 3,398,014 | 8,951,580 | 5,597,911 | 5,316,252 |
|      |                                                                 |           |           |           |           | 3,236,567 |
|      |                                                                 |           |           |           |           | 8,800,970 |
|      | Basic Earnings per share                                        | 1.13      | 0.59      | 2.17      | 1.12      | 1.13      |
|      | Diluted Earnings per share                                      | 0.96      | 0.50      | 1.86      | -         | 0.97      |
|      | Dividend per share                                              | -         | -         | 0.50      | -         | -         |
|      |                                                                 |           |           |           |           | 2.14      |
|      |                                                                 |           |           |           |           | 1.84      |
|      |                                                                 |           |           |           |           | 0.50      |
|      |                                                                 |           |           |           |           | 1.09      |

| III | OTHER DISCLOSURES                                  | GROUP                                  |                                        |                                   |                                        | BANK                                   |                                        |                                   |                                        |
|-----|----------------------------------------------------|----------------------------------------|----------------------------------------|-----------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|-----------------------------------|----------------------------------------|
|     |                                                    | 30-Jun-14<br>KSHS.'000<br>(Un-audited) | 31-Mar-14<br>KSHS.'000<br>(Un-audited) | 31-Dec-13<br>KSHS.'000<br>Audited | 30-Jun-13<br>KSHS.'000<br>(Un-audited) | 30-Jun-14<br>KSHS.'000<br>(Un-audited) | 31-Mar-14<br>KSHS.'000<br>(Un-audited) | 31-Dec-13<br>KSHS.'000<br>Audited | 30-Jun-13<br>KSHS.'000<br>(Un-audited) |
| 1   | NON PERFORMING LOANS AND ADVANCES                  |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| a)  | Gross non-performing loans and advances            | 6,920,126                              | 6,847,035                              | 6,103,463                         | 6,770,113                              | 6,920,126                              | 6,847,035                              | 6,103,463                         | 6,770,113                              |
| b)  | Less                                               |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
|     | Interest in suspense                               | 492,976                                | 595,570                                | 676,978                           | 766,541                                | 492,976                                | 595,570                                | 676,978                           | 766,541                                |
| c)  | Total Non-performing loans and advances (a-b)      | 6,427,150                              | 6,251,465                              | 5,426,485                         | 6,003,572                              | 6,427,150                              | 6,251,465                              | 5,426,485                         | 6,003,572                              |
| d)  | Less                                               |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
|     | Loan loss provisions                               | 2,185,765                              | 2,310,457                              | 2,366,972                         | 2,646,905                              | 2,185,765                              | 2,310,457                              | 2,366,972                         | 2,646,905                              |
| e)  | Net Non performing loans (c-d)                     | 4,241,385                              | 3,941,008                              | 3,059,513                         | 3,356,667                              | 4,241,385                              | 3,941,008                              | 3,059,513                         | 3,356,667                              |
| f)  | Discounted Value of Securities                     | 4,241,385                              | 3,941,008                              | 3,059,513                         | 3,461,351                              | 4,241,385                              | 3,941,008                              | 3,059,513                         | 3,356,667                              |
| g)  | Net NPLs Exposure (e-f)                            | -                                      | -                                      | -                                 | -                                      | -                                      | -                                      | -                                 | -                                      |
| 2   | Insider loans and advances                         |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| a)  | Directors, shareholders and associates             | 210,276                                | 159,246                                | 158,416                           | 152,289                                | 210,276                                | 159,246                                | 158,416                           | 152,289                                |
| b)  | Employees                                          | 6,630,136                              | 6,520,265                              | 6,305,246                         | 6,025,239                              | 6,630,136                              | 6,520,265                              | 6,305,246                         | 6,025,239                              |
| c)  | Total insider loans, advances and other facilities | 6,840,412                              | 6,679,511                              | 6,463,662                         | 6,177,528                              | 6,840,412                              | 6,679,511                              | 6,463,662                         | 6,177,528                              |
| 3   | Off-Balance Sheet Items                            |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| a)  | Letters of credit, guarantees, acceptances         | 13,931,353                             | 15,396,754                             | 16,971,431                        | 15,135,797                             | 13,931,353                             | 15,396,754                             | 16,971,431                        | 15,135,797                             |
| b)  | Forwards, swaps and options                        | 1,922,005                              | 3,884,100                              | 3,865,180                         | 5,965,356                              | 1,922,005                              | 3,884,100                              | 3,865,180                         | 5,965,356                              |
| c)  | Other contingent liabilities                       | -                                      | -                                      | -                                 | -                                      | -                                      | -                                      | -                                 | -                                      |
| d)  | Total contingent liabilities                       | 15,853,358                             | 19,280,854                             | 20,836,611                        | 21,101,153                             | 15,853,358                             | 19,280,854                             | 20,836,611                        | 21,101,153                             |
|     | Capital strength                                   |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| a)  | Core capital                                       |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| b)  | Minimum Statutory Capital                          | 34,488,460                             | 33,270,287                             | 32,122,842                        | 32,122,842                             | 34,488,460                             | 33,270,287                             | 32,122,842                        | 29,665,140                             |
| c)  | Excess/( deficiency)                               | 1,000,000                              | 1,000,000                              | 1,000,000                         | 1,000,000                              | 1,000,000                              | 1,000,000                              | 1,000,000                         | 1,000,000                              |
| d)  | Supplementary capital                              | 33,488,460                             | 32,270,287                             | 31,122,842                        | 31,122,842                             | 33,488,460                             | 32,270,287                             | 31,122,842                        | 28,665,140                             |
| e)  | Total capital (a-d)                                | 14,397,394                             | 13,568,056                             | 11,071,995                        | 5,828,064                              | 14,397,394                             | 13,568,056                             | 11,071,995                        | 5,828,064                              |
| f)  | Total risk weighted assets                         | 48,885,854                             | 46,838,342                             | 43,194,837                        | 35,493,204                             | 48,885,854                             | 46,838,342                             | 43,194,837                        | 35,493,204                             |
| g)  | Core capital/total deposit liabilities             | 244,134,863                            | 228,270,826                            | 205,151,872                       | 195,839,155                            | 244,134,863                            | 228,270,826                            | 205,151,872                       | 195,839,155                            |
| h)  | Minimum Statutory Ratio                            | 17.1%                                  | 17.5%                                  | 18.2%                             | 17.0%                                  | 17.1%                                  | 17.5%                                  | 18.2%                             | 17.0%                                  |
| i)  | Excess/( deficiency)                               | 10.5%                                  | 10.5%                                  | 10.5%                             | 10.5%                                  | 10.5%                                  | 10.5%                                  | 10.5%                             | 10.5%                                  |
| j)  | Core capital/total risk weighted assets            | 6.6%                                   | 7.0%                                   | 7.7%                              | 6.5%                                   | 6.6%                                   | 7.0%                                   | 7.7%                              | 6.5%                                   |
| k)  | Minimum Statutory Ratio                            | 14.1%                                  | 14.6%                                  | 15.7%                             | 15.1%                                  | 14.1%                                  | 14.6%                                  | 15.7%                             | 15.1%                                  |
| l)  | Excess/( deficiency)(j-k)                          | 10.5%                                  | 10.5%                                  | 10.5%                             | 10.5%                                  | 10.5%                                  | 10.5%                                  | 10.5%                             | 10.5%                                  |
| m)  | Total capital/total risk weighted assets           | 3.6%                                   | 4.1%                                   | 5.2%                              | 4.6%                                   | 3.6%                                   | 4.1%                                   | 5.2%                              | 4.6%                                   |
| n)  | Minimum Statutory Ratio                            | 20.0%                                  | 20.5%                                  | 21.1%                             | 18.1%                                  | 20.0%                                  | 20.5%                                  | 21.1%                             | 18.1%                                  |
| o)  | Excess/( deficiency)(m-n)                          | 14.5%                                  | 14.5%                                  | 14.5%                             | 14.5%                                  | 14.5%                                  | 14.5%                                  | 14.5%                             | 14.5%                                  |
| 5   | Liquidity                                          |                                        |                                        |                                   |                                        |                                        |                                        |                                   |                                        |
| a)  | Liquidity Ratio                                    | 33.1%                                  | 32.7%                                  | 32.6%                             | 39.3%                                  | 33.1%                                  | 32.7%                                  | 32.6%                             | 39.3%                                  |
| b)  | Minimum Statutory Ratio                            | 20.0%                                  | 20.0%                                  | 20.0%                             | 20.0%                                  | 20.0%                                  | 20.0%                                  | 20.0%                             | 20.0%                                  |
| c)  | Excess/( deficiency)(a-b)                          | 13.1%                                  | 12.7%                                  | 12.6%                             | 19.3%                                  | 13.1%                                  | 12.7%                                  | 12.6%                             | 19.3%                                  |

These financial statements are extracts from the books of the institution.

Signed: S C Muchiri, EBS  
Group Chairman

Signed: Dr.G. Muriuki, MBS  
Group Managing Director & CEO